1.6 NOMINAL AND REAL GDP

MARKING SCHEME

1990/CE/II/53 B	1997/CE/II/23 A	2002/CE/II/30 C (32%)	2008/CE/II/32 A (40%)	2017/DSE/I/26 A (52%)
1990/CE/II/56 D	1998/CE/II/23 B	2003/CE/II/28 B (54%)	2009/CE/II/29 A (68%)	2018/DSE/I/25 B (55%)
1991/CE/II/59 D	1998/CE/II/29 A	2003/CE/II/29 D (46%)	2010/CE/II/33 C (37%)	2019/DSE/I/23 A
1993/CE/II/41 C	1999/CE/II/25 A	2005/CE/II/29 B (57%)	2012/DSE/I/23 A (53%)	2020/DSE/I/26 A
1995/CE/II/34 C	2000/CE/II/36 A	2007/CE/II/32 A (63%)	2015/DSE/I/25 D (64%)	2021/DSE/I/24 A
20232DSE/I/26 **B**	2024/DSE/II/25 C			

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/3(a)(iv)
(I) Population in 1988 (2)

(II) GDP deflator in 1988 / Price index in 1988 (2)

1992/CE/I/5
(a) (ii) Real national income = Nominal national income × (Price index for 1980 ÷ Price index for 1991)
= \$60 million × (100 / 150) (1)
= \$40 million (1)

(iii) Real national income is a better indicator, because (1)
it is free from the effects of the price changes in the year. (2)

1996/CE/I/6
Real wage in 1994 = \$10 000 × (100 / 120) = \$8 333.3
Real wage in 1995 = \$12 000 × (100 / 150) = \$8 000
OR
Real wage in 1995 based on 1994
= \$12 000 × (120 / 150) = \$9 600 < \$10 000
OR
Change in price index: [(150 - 120) / 120] × 100% = +25%
Change in salary: [(\$12 000 - \$10 000) / \$10 000] × 100% = +20% (2)

∴ Real wage decreased. (1)

2000/CE/I/6(b)
For the same amount of money income, real income rose as price level decreased. (3)

2002/CE/I/12(b)(ii)
Not necessary because (1)
if the general price level falls at a higher rate than (at the same rate as) the wage cut, their real income would increase instead (remain unchanged). (4)
(Remark: Mere mentioning of "general price level ↓ / purchasing power of money ↑" - max. 1 mark)

2003/CE/I/5
Per capita real consumption expenditure in 1992
= \$2 500 m ÷ 5 m
= \$500 (2)

Per capita real consumption expenditure in 2002
= \$[2 679 m × (100 / 95)] ÷ 6 m
= \$470 (2)

∴ a higher per capita real consumption expenditure in 1992 (1)

OR
Change in per capita nominal consumption expenditure
= [\$(2 679 m / 6 m) - \$(2 500 m ÷ 5 m)] ÷ \$(2 500 m ÷ 5 m)
= -10.7% (2)

Change in price index
= (95 - 100) ÷ 100
= -5% (2)

∴ % ↓ in price index < % ↓ in per capita nominal consumption expenditure (1)

Conclusion: a higher general living standard in 1992 (1)

2004/CE/I/5
(a) No, because (1)
the real GDP (or constant price GDP) for 2002 was higher. (1)

(b) The general price level was decreasing / deflation / inflation rate was negative. (2)

2007/CE/I/4(a)
85.3 (1)

2009/CE/I/7(a)
Year 2000: \$16 000 million ÷ 10 million = \$1 600 (1)
Year 2008: \$24 840 million ÷ (115 × 100) ÷ 12 million = \$1 800 (1)

2009/CE/I/9(c)
Part of the total spending is on the service provided by the bookstores. The service provided by the bookstores is a current production which should be counted as part of the GDP. (2)

2010/CE/I/7(c)
Not necessarily decreased, because (1)
the real wage rate will increase if the percentage decrease in the general price level is greater than the percentage decrease in the nominal wage rate. (2)

2012/DSE/II/11(b)
No, because (1)
the real income of workers would fall if the percentage increase in price level is greater than the percentage increase in nominal wage. (2)

2024/DSE/II/5

(a) Real GDP = (nominal GDP / price level) x 100. (1)
As nominal GDP falls while price level rises, real GDP must have fallen. (1)

(b) Reasons:
- Population may have dropped by a larger percentage than real GDP.
- Pollution may have become less serious.
- Citizens may have enjoyed more leisure time.
- Any other relevant point

1@ max: 2

[Mark the FIRST TWO points only.]

(c) The tenant would gain, because the purchasing power of the fixed rental paid would decrease when the general price level increased. (2)

OR

The tenant would gain, because the purchasing power of the fixed rental paid would be lower than expected when the actual inflation rate (0.7%) was higher than expected (0%).